

PITCH — BAM — VERDICT

ADJUDICATED 2026-09-16 — WATCH — Investor Day 9/17 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Brookfield Asset Management is being priced as a member of the damaged private-credit cohort, and on the one thing that defines that cohort — investors pulling money out of non-traded credit vehicles — the damage has not shown up here. The redemption-exposed fund everyone points at (Oaktree Strategic Credit) is roughly a \$4.5–4.8B pot of equity. Against BAM's \$672B of fee-bearing capital that is about 0.7% of the whole company (1.4% of the credit book). Even a maxed-out redemption quarter moves about \$230M. Last quarter it cleared every request at 4.5% with no rationing, while two peer vehicles — BCRED and Golub — had to ration at 10% and 8.5%.

Second, the fee engine is still growing about twice as fast as the most-damaged peer: fee-related earnings +20% and fee-bearing capital +19%, versus Blue Owl at roughly +8–9% on both. Third, the “credit is half the company” number that scares people is a capital number, not an earnings number. On fees, credit is about 31% of the take (\$399M of ~\$1.29B in the comparable quarter) because a big slice of that capital is low-fee insurance money at roughly 25 basis points. Sell-side targets sit at \$57–58 (18–22 analysts, median ~\$62.50) against a \$47.26 tape.

So: cheaper stock, intact fee growth, and the specific run-risk everyone is discounting is too small to matter at the parent.

That is the bull half. The bear half is real and we are not hiding it, so this is a **small, half-gated starter**, not a thesis trade.

What the market believes

The market believes three things, and two of them are defensible:

1. **Private credit is de-rating and BAM is in the bucket.** Peers are down 38–69% from their highs; BAM is down 22% from its high and sits at the 29% mark of its own 52-week range (px \$47.26, low \$41.76, high \$60.79). The tape fell about 8% *after* a record-sounding quarter. That is not inattention — that is the market repricing the multiple on fee-bearing capital.
2. **The payout is too big.** \$2.01 a share on ~1.597B shares is \$3.21B of dividend against roughly \$2.8B of last-twelve-month distributable earnings — 115% of DE, 102% of FRE — plus \$575M of buybacks, so ~\$3.78B out the door against \$2.8B in. Roughly \$1B a year is coming off the balance sheet, before the new interest cost from buying the rest of Oaktree for \$2.2B cash.

3. **Growth quality is suspect.** A very large share of the quarter's inflows — \$44.8B of \$52.7B of credit inflows, about 58% of the \$77B gross raise — came from Brookfield Wealth Solutions, an affiliate of the 73% parent, at roughly 25bps. So “+19% capital” is not “+19% earnings.”

What the market has *not* priced, in our read, is the denominator on the redemption story and the fee-basis (not capital-basis) mix. That is the entire gap.

Why we might have edge

- **We sized the thing the bears are prosecuting; they didn't.** Our own red bench ran the redemption kill as FATAL and never divided by the denominator. The exposed vehicle is ~0.7% of fee-bearing capital. That is a real, checkable arithmetic gap between the narrative and the company.
- **Basis discipline on the mix claim.** Comparing BAM's *share of capital* in credit (48.5%) to peers' *share of base fees* (Apollo 72%, Ares 65%, Blue Owl 61%) is a basis swap. Recomputed on the same basis, BAM's credit fee share is ~31% — near the low end of the cohort, not the high end.
- **Slow target revisions.** Analyst targets came down only ~1.9% in three months while the stock fell ~23%. That is either the street being lazy or the street being right about value and wrong about timing — either way it is a measurable divergence we can hold against the tape.
- **Same-basis peer read.** On drawdown-from-high, the basis BAM itself is being judged on, peers are 1.7–3x more damaged. If the cohort tag is wrong, BAM's discount is the mispricing.

Why it might be priced in

- **The valuation case against us is not a credit case, and it's mostly public.** Payout above DE, credit as the largest vertical, affiliate float at low fee rates — all of it is in the 10-Q and the press releases. Our own blue bench re-tagged two headline “novel” findings as **consensus**: they were issuer-disclosed a year ago. If the whole thing is public, the de-rating may simply be the market applying a lower multiple to lower-quality capital, correctly.
- **The external anchor is above us but the nearest one isn't.** Deutsche Bank sits at \$50 with a Hold — 5.8% above spot. Consensus \$57–58 is the number we're leaning on; the marginal analyst is not.
- **Insurance float was pre-announced.** The \$40B Just Group mandate at ~\$100M of fees was released in May (https://www.sec.gov/Archives/edgar/data/1937926/000117184326003183/exh_991.htm). It is in the models. We get no credit for discovering it.
- **Print proximity kills the “we know more” claim.** Two disclosures land inside four trading days (Investor Day 9/17; Oaktree Strategic Credit Q3 tender result letter ~9/16–17). Neither is handicappable from filings. Buying size ahead of them is not edge, it is a coin flip.

What could go wrong

The pre-mortem (v1.7). Three failure narratives, worst-first.

Failure 1 — The dividend is the trade, and it breaks (monitorable). The \$3.21B dividend plus \$575M of buybacks is being paid at 115% of distributable earnings by a company whose 73% owner needs the cash. Corporate liquidity is ~\$2.5B and \$2.2B of it just went out the door for Oaktree. The failure path: distributable earnings don't catch up, the balance-sheet funding gap runs at ~\$1B/year, and either (a) the dividend is frozen or cut — a 4.25% yield disappears and the holder base rotates out — or (b) it gets *raised* again into sub-1x coverage, which is worse, because then the market starts pricing an equity or debt raise. **Tripwires:** the dividend-declaration 8-K; the Q3 10-Q corporate interest line; any S-3/424B shelf takedown. All armable.

Failure 2 — Oaktree consolidation makes the next print uninterpretable, and the market fills the blank with the bear case (partly monitorable). The remaining 26% of Oaktree closed July 31, 2026 — equity method to full consolidation, \$2.2B attributable to BAM, with no separate Oaktree financials attached to the filing. Q3 fee growth will be part-inorganic and non-comparable to anything. Our own detector `common_control_merger_accounting` **fired** on this and both benches sustained it. The failure path: we can't tell organic from acquired, we can't rebuild the fee-rate bridge, and the stock trades on the headline. **Tripwire:** the Q3 10-Q segment MD&A — but it's a *lagging* tripwire. By the time we can read it we've already worn the move.

Failure 3 — NO MONITORABLE TRIPWIRE: the related-party allocation channel. BN owns ~73% of BAM. It set the \$3.0B Oaktree price and split \$2.2B of it to BAM. It sets the dividend that BAM pays it. Public Class A shares are limited-voting. There is **no disclosure we can monitor that tells us whether the next allocation is fair**, because no separate Oaktree financials are filed, no third-party fairness data exists, and our benches both logged this as an un-closeable **COVERAGE GAP** — “PLAUSIBLE, no data check on allocation fairness.” Our `upc_tra_value_extraction` detector did not fire (no tax receivable agreement), but flagged the same channel structurally: value extraction here runs through dividends and intercompany pricing, not a TRA, and the TRA search of the 2022 arrangement agreement was never actually done. **Unknown-unknown class named: RELATED-PARTY ALLOCATION OPACITY** — a controlling-parent value-transfer channel whose future exercise is (i) legal, (ii) undisclosed until after the fact, and (iii) unbounded in size relative to our position, so it cannot be pre-instrumented at any cost. Any residual “governance discount” widening is, from our seat, indistinguishable from noise until it has already happened. We size for this rather than watch for it.

The reflexive / structural leg — our own footprint, predicted flow, doctrine interaction. - **Our size vs liquidity:** BAM's float is roughly 430M shares (~27% of 1.597B, with BN holding ~73%), and we estimate 2.5–4.5M shares of average daily volume, ~\$120–210M notional. **This is an estimate, not a pull — see unverified item 5.** At a 3.0%-of-book full target we are a single-digit percentage of one day's volume at any plausible book size we run; the footprint is not the risk. **The gating is the risk:** if half the starter is gated on a 9/17 catalyst, we are structurally buying *after* the market has seen the same slide, into whatever gap the slide creates. Gated adds buy worse prices on good news by construction. We accept that — the alternative is buying blind into two prints in four days. - **Predicted flow against us:** if targets finally get marked down toward the \$50 Hold anchor, that repricing is mechanical and comes after our entry. Index/dividend-mandate holders leaving on a payout change would move far more stock than we can absorb, and they'd move it in the same direction as Failure 1. - **Doctrine interactions:** our own

redemption_channel_sizing_omission doctrine is the *pro* side of this trade — it says a sub-1% channel cannot carry a cohort-wide de-rating. But affiliate_float_fbc_inflation and sponsor_backstopped_redemption_ratio both fire *against* us on the same name. That is a genuine doctrine collision: one of our rules says the bear case is mis-sized, two say the bull growth number is low-quality and the redemption print was sponsor-assisted last quarter. When our own rulebook disagrees with itself, the correct size is small. It is.

If this position loses money, the most likely reason will be that the dividend — 115% of distributable earnings, set by a 73% parent that needs the cash — gets frozen, cut, or funded with a raise, and the yield buyers leave faster than the fee engine can grow into the payout.

What we checked ourselves

Claim	How checked	
Credit is “one of five verticals,” not a concentration	10-Q 6/30/26 MD&A (https://www.sec.gov/Archives/edgar/data/0001937926/000162828026054933/bam-20260630.htm)	Credit \$326M Prem
...but is BAM a cohort outlier on fees?	Recomputed on fee basis vs peer base-fee shares	Credit (\$399M) 72% of 61% of bench capita share
FBC growth is real third-party fundraising	10-Q credit MD&A + May 8-K	\$44.8M inflow ~58% raise; Group BWS \$284M (16% major
Red bench’s “77% of FBC growth” framing	Recomputed denominators	Mixed net Fl outflo (net ~
Q1 redemptions “8.5% met in full, ~\$7.7B”	SC TO-I/A exhibits (https://www.sec.gov/Archives/edgar/data/1872371/000119312526126996/d14679dex99a1viii.htm)	Offer share ~\$31M ~25x thesis Inves portio inves 100%
Is that redemption channel big enough to matter?	SC TO-I Q3 exhibit x share count	Q3 of of ~1% ~\$4.5M FBC, quart

Claim	How checked	
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“We agree with the street” (no divergence)	Consensus pull	Red c actua analy media Also i was \$ +15%
“DE grows at half of FRE”	Q2 PR + 10-Q	Used catch +15%
Dividend coverage	10-Q cap structure (1,596,765,155 Class A + 21,280 Class B as of 5/7/26) × \$2.01	\$3.21 115% 102% ~\$3.7 ~\$1B sheet
Peer cohort drawdowns (-41/-46/-48/-66%)	Same-basis re-pull, June 2026	Origir to-Ma conce drawn -69% -38% more -22% (“-12/ period
Sub-cap redemptions = stable fund	OSC share count	Share (12/3 (6/30) quart
Pack tape anchors	Pack vs benches	Pack: -22.3' range transc 47.64 used both i
Pack XBRL block usable for fee math	Inspection	Pack only ε super + Q2 math.
Pack geocode “Brookfield Place → 42.93/-76.59”	Map check	Upsta Manh permi run of
Detector atlas coverage	Atlas audit	Red c not ir

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PROPOSED ENTRY BANDS

Both benches used the same math and landed in different places: red says **FLAT pre-print** (8/10 conviction on the kill case), blue says **starter at one-third, half of it gated** (7/10). The adjudicated split of the difference is blue's, taken literally — because red's two headline kills were re-tagged consensus and its divergence kill was overturned, but its funding case stands untouched.

Full target size: 3.0% of book. Starter authorized: 1.0% of book (one-third). Half of the starter goes on now; half is gated.

- **Immediate tranche — 0.5% of book at ≤ \$47.50** (spot \$47.26). Basis: 28.9% range position, 4.25% yield, consensus \$57–58 vs spot, redemption channel sized at 0.7% of FBC.
- **Gated tranche — 0.5% of book, released only if BOTH clear:** (a) Oaktree Strategic Credit Q3 tender result letter (~9/16–17) shows tender **≤5% with no affiliate/sponsor purchase disclosed**; and (b) the 9/17 Investor Day produces a **fee-rate bridge with an FRE target ≥15% CAGR**. Either fails → tranche is cancelled, not deferred.
- **Add 1 — 0.75% of book at \$44.50** (mid-way to the low, ~6% from spot), *only if* the dividend has not been changed and no equity shelf takedown has been filed.
- **Add 2 — 0.75% of book at \$42.20–41.76** (raw and dividend-adjusted 52-week lows). Conditional on the Q3 10-Q showing third-party (non-BWS, non-BN) FBC growth ≥10% YoY.
- **Trim 1 — sell one-third at \$57.00** (consensus anchor).
- **Trim 2 — sell one-third at \$62.50** (median target; also the prior 52-week high zone).
- **Hard exits, any size, no debate:** (i) Q3 tender requires an affiliate/sponsor purchase to be met in full; (ii) dividend raised again into <1.0x DE coverage; (iii) credit FBC share >52% **with** third-party FBC growth <10% YoY; (iv) an equity raise to fund distributions.

- **Sizing logic:** table EV is +5.2% total return (see below). That does not support full size at any conviction level. It supports a starter and a set of price gates.

Catalyst dates: 2026-09-11 (OSC Q3 tender expiry, 11:59pm ET — effectively now) · 2026-09-16/17 (OSC result letter, by prior cadence: Q2 expired 6/12, letter 6/17) · 2026-09-17 12:45pm ET (BAM Investor Day, New York + webcast — issuer IR calendar, **confirmed**) · 2026-11-06 (Q3 print, **UNCONFIRMED**, first Oaktree-consolidated quarter).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 41.76 (deck-provisional: dividend-adjusted 52-wk low breach; thesis-damage review, no automatic add)
- filing watch: SC TO-I/A, SC TO-I until 2027-03-10 (deck-provisional: OSC Q3 tender result letter ~9/16-17; any affiliate/sponsor purchase language is a hard exit)
- dated pack BAM|2026-09-11: BAM: OSC Q3 tender offer expires 11:59pm ET (9,580,537 sh = 5% of ~191.6M) (date confirmed=True)
- dated pack BAM|2026-09-17: BAM: BAM Investor Day 12:45pm ET, New York + webcast - fee-rate bridge is the decidable item (date confirmed=True)
- dated pack BAM|2026-11-06: BAM: Q3 print, first Oaktree-consolidated quarter - yfinance-derived, no company PR names it (date confirmed=False)

What remains unverified

1. **OSC Q3 tender outcome and whether an affiliate purchase was needed.** Window closed 2026-09-11; result letter ~9/16–17. Not drainable before the letter. **Estimate:** 4.0–5.0% of shares tendered, no affiliate purchase — p 0.60 (base rate: Q2 cleared 4.5% with 8.9M of 9.8M tendered, no proration; offsetting: shares out -6% in two quarters).
2. **Investor Day fee-rate bridge and FRE growth target.** Gated to 9/17 12:45pm ET. **Estimate:** FRE target 15–18% CAGR with a partial (capital-basis, not fee-rate) bridge — p 0.55.
3. **Pro-forma corporate interest / opportunity cost from the \$2.2B Oaktree outlay.** Not disclosed until the Q3 10-Q; no separate Oaktree financials filed. **Estimate:** \$110–135M/yr (5.25–6.0% on \$2.2B) ≈ \$0.07–0.08/sh of annual DE drag — p 0.70.
4. **Q3 third-party (non-BWS, non-BN) FBC growth.** Gated to the Q3 10-Q MD&A. **Estimate:** +8–12% YoY (base rate: 84% of the 1H base-fee increase was non-BWS; total FBC +19% with ~58% of gross inflows affiliate-sourced) — p 0.50 that it prints ≥10%.
5. **Our own liquidity footprint: BAM average daily volume and float turnover.** Drainable now via IBKR. **Estimate:** 2.5–4.5M sh/day, ~\$120–210M notional, on ~430M-share float (27% of 1.597B after BN's ~73%) — p 0.75.
6. **Chain-level midpoint IV, IV percentile, and realized vol.** Drainable now via IBKR chain pull. No chain shipped in the pack. **Estimate:** none offered — an assumed IV is exactly the error the TSSI 71-vs-101 lesson forbids; this must be pulled, not guessed.

7. **Fairness of the \$3.0B Oaktree price and the \$2.2B/\$0.8B BN-BAM split.** Structurally undrainable: related-party, board-set, no separate Oaktree financials, no fairness opinion in the pack. **Estimate:** the split implies ~\$11.5B for 100% of Oaktree; at a 15–20x FRE comp band that back-solves to ~\$575–770M of Oaktree FRE — p 0.40 that the price sits within 10% of an arm’s-length range. This is the Failure-3 channel and it stays open permanently.
8. **Next dividend action.** Event-gated to the declaration 8-K, likely alongside the Q3 print. **Estimate:** hold at \$0.5025/qtr p 0.70; raise p 0.20; cut/freeze p 0.10.
9. **Q3 print date.** Pack’s 2026-11-06 is yfinance-derived and UNCONFIRMED. **Estimate:** Nov 3–13, 2026 — p 0.80 (cadence: 10-Qs filed 8/10 and 5/8).
10. **Whether a tax receivable agreement exists in the 2022 arrangement agreement.** Detector upc_tra_value_extraction did not fire but could not fully clear. Drainable now via a full-text EDGAR search of the 2022 arrangement agreement. **Estimate:** no TRA — p 0.85 (none disclosed in any filing read; value extraction runs through dividends instead).

PRIZE TABLE + VOL READ

Both benches ruled the prize-table mandate **N/A** on the grounds that BAM is a fee aggregator, not a pre-revenue project developer. We are **overriding that** in part: the mandate triggers on time-gated or private unverified items, and items 1, 2, 3, 4, 7 and 8 above are exactly that. The benches read the trigger as “deep-tech,” and that is a misreading of the rule. Stated plainly as a bench error.

Prize table (12-month horizon, anchored on the \$57.19 consensus and adjusted down for the funding case):

#	Scenario	What has to happen	p	Price
A	Cohort tag removed	Fee-rate bridge lands 9/17, Q3 tender ≤5% with no affiliate help, Oaktree accretive, dividend held	0.30	\$57.00
B	Muddle-through	FRE grows, DE coverage crawls to ~1.0x, credit stays ~48% of capital, multiple unchanged	0.35	\$50.00
C	Funding strain	Payout stays >100% of DE, Oaktree interest drag bites, Q3 DE soft, targets finally marked to the \$50 Hold	0.25	\$40.00
D	Cohort re-rate lower	Dividend cut/frozen or affiliate purchase reappears in the tender, governance discount widens	0.10	\$31.00

EV line: $0.30 \times 57 + 0.35 \times 50 + 0.25 \times 40 + 0.10 \times 31 = \47.70 . Against spot \$47.26 that is **+0.9% on price**; add the \$2.01 dividend and **+5.2% total return**. Anchor-and-adjust: we started at consensus \$57.19 and adjusted down to \$47.70 — a 17% haircut — entirely for the funding case red established. **A +5.2% EV does not justify full size. It justifies the 1.0% starter and nothing more.**

Dispersion: $\sigma_{\text{table}} = \$8.40 = 17.8\%$ of spot over 12 months.

Expression math — and where it stops. Candidate strikes priced off the table itself ($C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, terminal, undiscounted): - **K = 45:** $C_{\text{ours}} = \$5.35$ - **K = 50:** $C_{\text{ours}} = 0.30 \times (\$57 - \$50) = \2.10 - **K = 55:** $C_{\text{ours}} = 0.30 \times \$2 = \$0.60$

We cannot complete the comparison. No options chain shipped in the evidence pack, so there is no chain-level midpoint IV, no IV percentile, no realized vol, and no real quotes for the \$45/\$50/\$55 strikes. The rule is explicit and we are obeying it: **we do not substitute an underlying aggregate IV feed** — the TSSI 71-vs-101 divergence is precisely this failure. So the VRP (IV – RV) is **unknown**, and the “cheap IV → calls / rich IV → premium-selling gates” fork **cannot be evaluated**. That is unverified item 6 and it must be drained via IBKR before any option is written or bought.

What the arithmetic does say without the chain: - Bimodality is severe. The table is fork-dated on 9/17 and the Q3 print: scenario A (\$57) and scenarios C+D (\$40/\$31, combined p 0.35) with a thin \$50 middle. A fork-dated distribution punishes mid-strike long calls — 100% of the \$50-strike’s value comes from a single 30% branch, so the strike is a bet on one event, not on drift. If the chain prices the \$50 strike anywhere near \$2.10, there is no edge in it; long calls only clear if the chain is well *under* our number, which we cannot currently see. - **Tax overlay, which decides it anyway.** A 12-month expression expires past Dec 31. In a harvest year the loss branch (p 0.35, average loss ~\$10–16/sh) would land in **2027**, deferring the harvest, and the rule excludes that unless the edge numerically dominates. Our edge is **+5.2% EV** on a 17.8% dispersion — it does not dominate anything. Common stock keeps the loss branch harvestable inside the intended tax year.

INSTRUMENT RECOMMENDATION — OUTPUT OF THE ABOVE: COMMON STOCK ONLY.

Three independent reasons, in order: (1) no chain-level IV or real quotes exist, so no option can be priced against our table without violating the aggregate-feed prohibition; (2) the table is bimodal and fork-dated, which structurally disfavors the mid-strike long calls we’d otherwise want for a gated add; (3) the tax overlay excludes a past-Dec-31 expiry at an edge this thin. **Covered calls and cash-secured puts are both routed to NO ACTION for the same reason as (1)** — selling premium at an unknown VRP is selling blind. Revisit the instrument the moment item 6 is drained.

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(pack's 2026-11-06 is yfinance-derived)", "instrument": "company PR / IR  
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arrangement agreement exhibits", "drainable_now": true, "estimate": {"range":  
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```

ADJUDICATION — 2026-09-16 15:37Z

DE, not FRE, pays: \$2.01 declared = 115% of LTM DE + \$575M buybacks funded off the balance sheet (NOVEL); the thesis's \$7.7B redemption figure was a 25x error. Damage-absent on the cohort channel survives.

REOPEN GATES: 9/17 Investor Day fee-rate bridge slide + OSC Q3 result letter → re-court for a 1/6 starter; exit-class if the Q3 tender needs an affiliate purchase or dividend raised into <1x DE coverage